TAX PLANNING & COMPLIANCE

July-August 2023

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

1. Rare-Source Global Plc is a large multinational corporation (MNC) registered in the Cayman Islands. The main business of the company is trading rare earth elements through its subsidiaries worldwide. Rare-Source BD Limited ("RSBD") is a 100% owned subsidiary of Rare-Source Global Plc ("RSGP") and primarily procures Neodymium, a rare earth element, from the overseas subsidiary of the group and supplies it to Symphony Mobiles Ltd, a local smartphone manufacturing company.

   In the financial year ended 30 June 2023, RSBD imported 5,000 kg of Neodymium at a price of USD 750,000 from one of RSGP's subsidiaries in Dubai which was reported in its financial statements submitted with the tax authority. During an investigation by the Deputy Commissioner of Taxes ("the assessing officer"), it was revealed that the Neodymium was being sold in the international market at USD 130 per kg on the transaction date and company was paid USD 800,000 for the said import.

   The assessing officer became aware through a global news report that RSGP has been engaging in aggressive tax planning strategies to minimize their tax liabilities. These strategies involve shifting profits to low-tax jurisdictions, taking advantage of loopholes in tax laws, and exploiting inconsistent enforcement practices in many countries. The assessing officer believes that RSBD pays significantly less taxes than the other similar local businesses, creating an unfair competitive advantage.

   This scenario raises concerns about the tax principles and ethics of MNCs operating in Bangladesh.

   Requirements:
   You should assume that the tax law for the financial year 2022-23 continues to apply for the financial year 2023-24, and the Income Tax Ordinance 1984 is applicable.

   a) Discuss the ethical implications and potential violations of tax principles involved in the aggressive tax planning strategies employed by RSBD in Bangladesh. Additionally, propose measures that the tax authorities can undertake to ensure fair taxation practices and prevent such abuses in the future**.[Marks-5]**

   b) Quantify the additional tax that the assessing officer should charge for the mismatch of the imported materials as discussed in the above scenario. Use conversion rate as 1 USD equals BDT 110. **[Marks-2]**

Answer to the Question# 1(a):

Upon reviewing the operating model and the background of Rare-Source BD Limited ("RSBD"), it is observed that their aggressive tax planning appears completely unethical and goes against the principles of corporate governance best practices. The ethical implications and violations of tax principles resulting from their tax planning strategies, as well as preventive measures that tax authorities should consider, are discussed below.

Ethical implications and potential violations of tax principles:

Reporting lower income: RSBD has been importing Neodymium at a significantly higher price than its market price. The company intentionally underreports its income to trigger a lower tax liability. This pricing strategy undermines the principles of honesty and equality in tax reporting to the tax authority.

Lower tax payment and tax avoidance: RSBD employs an aggressive tax planning strategy that exploits loopholes in the tax laws of Bangladesh and the lack of its enforcement. As a result, the company pays lower taxes, which can be regarded as a form of tax avoidance. While tax avoidance is legal, its ethical standing is often debatable as it encourages unfair practices and results in a disproportionate distribution of tax burdens among different entities.

Unfair competitive advantage: Price manipulation gives RSBD a tax advantage over other local businesses and competitors. The company's reduced tax liabilities create an unfair competitive advantage and disrupt the principle of a level playing field, undermining the integrity of the business environment in Bangladesh.

Transfer pricing manipulation: RSBD deliberately sets the import price above the market price to shift profits to a low-tax jurisdiction, engaging in transfer pricing manipulation. Under transfer pricing regulations, the price of an international transaction should be at an arm's length price. This means, the price of Neodymium from a subsidiary of its parent company, RSGP, should align with arm's length pricing determined by appropriate methods to be applied for the company.

Measures to ensure fair taxation practices and prevent such abuses:

Tax authorities can take several steps to ensure fair taxation practices and prevent loopholes that may compromise the overall tax culture in Bangladesh. Some of these steps include:

Enforcing transfer pricing regulations: Tax authorities should start enforcing transfer pricing regulations to ensure that multinational corporations (MNCs) set prices for transactions between associated enterprises in alignment with international standards. This would ensure that transactions between related entities are conducted at arm's length prices, preventing profit shifting in the long run.

Increased transparency and appropriate reporting: Tax authorities should rigorously monitor compliance with reporting requirements for MNCs, including the statement of international transactions that discloses related party transactions. They should review transfer pricing documentation to ensure that pricing aligns with regulations. This enhanced transparency would enable tax authorities to identify potential tax avoidance strategies.

Information exchange: Enhancing international cooperation and information exchange between tax authorities would help detect and prevent aggressive tax planning strategies. Bangladesh's tax authority could join international initiatives, such as those undertaken by the OECD, to combat profit shifting. Sharing information about MNC structures, transactions, and tax planning schemes would be a valuable part of this process.

Redesigning assessments to target tax avoidance: Tax authorities should investigate and challenge transactions that lack economic substance and impose penalties on entities engaged in abusive tax practices. They may also formulate anti-avoidance rules specifically addressing aggressive tax planning strategies.

By implementing these measures, tax authorities can promote fair taxation practices and minimize the potential for abuses in the tax system.

Answer to the Question# 1(b):

Quantification of additional tax liabilities:

Section 16H of the Income Tax Ordinance, 1984 corresponding section 20 of Income Tax Act,2023, clearly specifies the tax treatment in cases where there are differences in investment, import, and export. According to this section, if an assessee submits statements claiming to have carried out an import, and the amount paid for such import is found to be different from the actual transaction value, tax shall be payable at a rate of 50% on the amount of the difference. Therefore, the additional tax that the assessing officer should charge for the mismatch of the imported materials would be calculated as follows:

Amount paid for the import of 5,000 kg Neodymium	USD 800,000
Value reported in the financial statements for imports	USD 750,000
Difference amount	USD 50,000
Additional tax would be USD 50,000 x 110 x 50% i.e.,	BDT 2,750,000

2. You are a practicing Chartered Accountant recently employed by a Chartered Accountancy Firm, ABC & Co. Your firm provides tax advisory services to X Ltd, a Bangladeshi company has been operating in the Fast Moving Consumer Goods (FMCG) sector in Bangladesh since 2015. The Tax partner of the firm assigned you to examine issues described below in relation to X Ltd:

   On 1st March 2021, the Commissioner of Taxes, "XX" Tax Zone sent a notice to X Ltd u/s 120 of the ITO 1984 on the following grounds in relation to the assessment year 2018-19:

   i) X Ltd filed its tax return for the assessment year 2018-19 showing a turnover of Taka 1,800 million, which resulted in disclosure of lesser turnover to the extent of Taka 1,500 million, as the Commissioner identified as per VAT record its total Turnover should have been Taka 3,300 million.
   ii) Because of the above, the assessment order is erroneous as it is prejudicial to the interests of the revenue.

   X Ltd filed its income tax return for the assessment year 2018-19 under Universal Self-Assessment u/s 82BB of the ITO 1984, accordingly the acknowledgement receipt of the return was deemed to be the assessment order of the DCT. This return was not selected for tax audit.

   Upon examination of the relevant documents, you identified the following for the assessment year 2018-19:

   i) X Ltd had two VAT registered premises one for manufacturing of electronics items and other one is for the sales center. X Ltd did not have any central registration under the VAT law.
   ii) X Ltd transferred its manufactured goods from factory to Sales center, from where it sold all manufactured goods to third parties.
   iii) As per VAT record the value of goods transferred from factory to Sales center was Taka 1,500 million, while it was Taka 1,800 million for sales to third parties excluding VAT.

   Being not registered under Central BIN, X Ltd had to pay VAT for the transfer of goods from Factory to Sales center.

   Requirements:

   a) Prepare a note for X Ltd regarding the legal position of the matter**.[Marks-4]**
   b) Describe at least four conditions under which an order shall be deemed to be erroneous u/s 120 of the ITO 1984. **[Marks-2]**

Answer to the Question# 2(a):

Date:
X Ltd

Subject: Regarding Notice issued by the Commissioner of Taxes, Taxes Zone -----u/s 120 of the IT Ordinance, 1984 for the AY 2018 -19

Dear Sir,

This refers to your letter no…., dated…. regarding the subject matter and the attached copy of the notice served by the learned Commissioner of Taxes, Taxes Zone----, mentioning that assessment of your company for the assessment year 2018-2019 made by the DCT was defective and caused loss of government revenues.

In view of the above and upon review of the relevant documents including VAT returns of your company, we would like to summarize the following facts:

On the allegation that sales were shown lesser to the extent of Taka 1,500 million:

a) For the AY 2018-19, X Ltd had two VAT registered premises, one for manufacturing and the other one was for Sales center.

b) X Ltd recognizes sales only from its Sales center, on the other hand the goods transferred from factory to Sales center is just an internal transfer of stock therefore it is not recognized as sales. This is completely aligned with the IFRS, which has been recognized in IT Ordinance as well.

c) The Learned Commissioner while considering the sales revenue, may have considered the total revenue based on the total transfer value of both the VAT returns for factory and Sales center. Therefore, the difference is also exactly the transfer value of stocks from factory to Sales center only i.e., Taka 1,500 million

d) Accordingly, it is clear that the Learned Commissioner failed to appreciate the difference between the Sales as per IFRS and supplies under VAT Act.

iii) Hence your declaration of Sales revenue in the financial statement is correct and the assessment order is not erroneous to cause any prejudicial to the interests of the revenue.

Here in your case, the Commissioner of Taxes has no authority to issue notice u/s 120 of ITO,1984 because return was filed under universal self-assessment scheme u/s 82BB. The acknowledgement slip is treated as assessment order done by the DCT. So here the appropriate for issuing notice u/s 120 is Inspecting Joint Commissioner of Taxes (IJCT) not Commissioner of Taxes (CT). You are therefore advised to submit an appropriate response accordingly. Should you need any support in this regard, please don't hesitate to contact with us.

Authorized Signatory
ABC & Co

Answer to the Question# 2(b):

As per section 120(5) of the ITO 1984, an Assessment Order shall be deemed to be considered erroneous if in the opinion of the Commissioner, or Inspecting Joint Commissioner of Taxes in case of the following:

a) Any income is misclassified in the Order; or
b) Any provision of the Ordinance is misinterpreted in making the Order; or
c) The Order is passed without making verification which should have been made; or
d) The Order is passed allowing any relief without inquiring into the claim; or
e) The order, direction or instruction issued by the NBR u/s 8 has not been followed; or
f) The order is erroneous for reasons apparent from the record.

3. You are working as a Senior Manager in a leading tax advisory firm based in Dhaka, Bangladesh. Maria Moon is employed as a bioengineer for an environmental consultancy firm in Dhaka. Ms. Moon has always been a tax resident in Bangladesh. You have received an email from Ms. Moon seeking advice on tax treatment as she anticipates a substantial change in her financial conditions. The extract from Ms. Moon's email is as follows:

"My current salary as an engineer is Tk. 3,600,000 per year. Other than my salary, I do not currently have any other income, contributions, or expenses. My employer deducts all taxes and contributions due from my monthly salary. The salary breakup, as agreed with my employer, is as follows:

Particulars	**Amount, Tk.**
Basic salary	2,900,000
House rent	450,000
Medical allowance	200,000
Conveyance allowance	50,000
Total	**3,600,000**

I made sufficient investment to obtain full investment tax credit each year. It is my understanding that my tax affairs are relatively simple at the moment, but there are potentially some changes to my future income, and I would like some advice in this respect. If possible, I would like to keep my tax affairs simple.

In December 2022 and February 2023, I went to Europe for holidays where all the costs were borne by my employer. Additionally, I spent a week in Singapore in the first week of June 2023 with my husband, two kids aged 8 and 12, and my cousin who is studying in a private university. Just to let you know, I spent USD 7,000 in December 2022, USD 6,000 in February 2023, and USD 10,000 on my last tour in Singapore. The money spent includes tickets, food and lodging, local travel, etc., and I assume USD 1,200 was used for my independent cousin. As per my employment contract, an overseas trip expenses in every two years shall be reimbursed. Note, I have not availed any foreign trip in the earlier years. My employer reimbursed USD

8,000 for the trip in December, USD 6,000 for the trip in February 2023 and half of the entire costs for Singapore trip. Although my employer assumed that there would be no tax implications for the trips, I would like your opinion on this matter.

I bought a flat in Niketon area of Gulshan for Tk. 23,000,000 in the year 2015. Recently, I inherited a house from my father, who is a UK national. The property is located in the UK. The cost of the property I inherited was GBP 4,00,000, and it is now rented. The local accountants sent me a note on projected income and expenses for the financial year 2022-23 for the house. I would like to know how this property and its income will affect my tax obligations in Bangladesh.

The rental income from the property is accumulated in a personal bank account in the UK, which I opened in 2022. During 2022, a net interest of GBP 500, after deducting source tax of GBP 50, was credited into this account. The closing balance in the UK bank account was GBP 12,000. I do not want to report my UK assets and income in my Bangladesh tax return.

Here is the projected income and expenses in the UK regarding my house property:

Particulars	**Amount, GBP**
Rental income	18,000
Municipal tax	(800)
Insurance	(400)
Repair and maintenance	(1,200)
Tax in UK	(2,500)
Net income	**13,100**

As an engineer, I have limited knowledge about the Bangladesh tax system. Therefore, I kindly request your advice on how to address all those matters in my tax return."

Requirements:

You should assume that the tax law for the financial year 2022-23 continues to apply for the financial year 2023-24, and the Income Tax Ordinance 1984 is applicable. Use the exchange rate of 1 USD equals Tk. 110 and 1 GBP equals Tk. 130

a) Explain whether you agree with the employer's statement that there will be no tax for Ms. Moon in relation to foreign trips/holidays. You should provide a detailed computation in answering this question to figure out how much additional tax Ms. Moon shall be paid, if any. **[Marks-8]**

b) Explain how rental income from the UK property will affect Moon's tax obligations in the current year and onwards. Your answer should also include the disclosure requirements for UK property in her tax return, assuming that there is a double tax treaty between Bangladesh and the UK**. [Marks-4]**

Answer to the Question# 3(a):

No, it is not correct that there will be no tax for Ms. Moon on the expenses borne by her employer for foreign trips.

According to Rule 33G of the Income Tax Rules, 1984, if an employee receives passage provided by the employer, including for the employee's household members and dependents, as per terms of the employment contract, any cash payment made by the employer in excess of the actual expenditure incurred by the employee shall be included in the employee's income. Additionally, if the employee receives free or concessional passage for travel abroad or within Bangladesh without it being a term of employment, the amount paid in cash shall be included in the employee's total income.

However, if the employee avails free or concessional passage for travel abroad more than once in a period of two years, the entire amount paid in cash or the amount that would have been expended for the additional passage shall be included in the employee's income.

Based on the above provisions, Ms. Moon will be entitled for expenses for a single trip in two years up to the amount actually expended, and she will not be entitled to any additional amount paid for the trip under the terms of her employment. Furthermore, all payments made by the employer for the additional trip shall be included in Ms. Moon's income for the financial year ending 30 June 2023.

Additional amount to be included in her income would be:

Amount received from her employer for the trip in December 2022	USD 8,000
Actual expenditure made for the trip	USD 7,000

Excess of actual expenditure	USD 1,000
Expenses borne by the employer for February tour	USD 6,000
Half of expenses borne for Singapore trip (USD 10,000/2)	USD 5,000
Amount to be included with her total income	USD 12,000
In Taka (USD 12,000 x 110)	Tk. 1,320,000

Computations of additional tax liabilities for foreign trips (all amount in Taka):

Particulars	Amount	Amount	Taxable amount without foreign trips	Taxable amount with foreign trips
Basic salary		2,900,000	2,900,000	2,900,000
House rent Exemptions: 50% 0f basic or 300,000, lower one	450,000 300,000	150,000	150,000	150,000
Medical allowance Exemptions: 10% of basic or 120,000, lower one	200,000 120,000	80,000	80,000	80,000
Conveyance allowance Exemptions: 30,000 in a year	50,000 30,000	20,000	20,000	20,000
Foreign trip		1,320,000	-	1,320,000
Total taxable income			**3,150,000**	**4,470,000**
Investment tax credit:				
Allowable investment limit, 20% of taxable income			630,000	894,000
Investment tax credit is 15% of investment limit			**94,500**	**134,100**

Tax liabilities:

Income slab	Income	Tax rate	Amount without trips	Amount with trips
On first	350,000	0%	-	-
Next	100,000	5%	5,000	5,000
Next	300,000	10%	30,000	30,000
Next	400,000	15%	60,000	60,000
Next	500,000	20%	100,000	100,000
Rest of the income, without trip	1,500,000	25%	375,000	-
Rest of the income, with trips facilities	2,820,000	25%	-	705,000
Total tax liability			**570,000**	**900,000**
Investment tax credit			94,500	134,100
Net tax liability			**475,500**	**765,900**

Therefore, additional tax of Tk. 290,400 (Tk. 765,900 minus Tk. 475,500) shall be borne for the foreign trips sponsored by her employer.

Answer to the Question# 3(b):

Treatment of income from house property in UK:

As per section 17 of the Income Tax Ordinance, 1984, all income received, deemed to be received, accrued, or arisen, or deemed to accrue or arise in Bangladesh and outside of Bangladesh shall be included in the total income of a resident taxpayer for the purpose of taxation in Bangladesh.

Considering the above provision, Ms. Moon shall be liable to pay tax on her worldwide income, including the income from the house property in the UK. The taxation of the house property income in the UK would be as follows:

Rental income for the year		GBP	18,000
Less: Allowable deductions:			
Municipal tax	GBP 800		
Insurance	400		
Repair and maintenance (Note: 1)	4,500		
Total expenses		GBP	5,700
Income from house property		GBP	12,300/ or Tk. 1,599,000

Section 144 of the Income Tax Ordinance, 1984, provides that the government may enter into agreements with other countries to avoid double taxation. Since Bangladesh has a tax treaty with the UK, a tax credit for foreign taxes paid should be allowed as per 7th Schedule of the Income Tax Ordinance, 1984. In this case, Ms. Moon is eligible for a credit for the tax paid in the UK on her house property income. In accordance with the 7th Schedule, the credit for UK tax should not exceed the amount calculated by applying the average rate of foreign tax to the double tax income.

Tax liability after considering house property income would be:

Tax liability without house rent income	Tk. 765,900
Tax on house property income (1,599,000 x 25%)	Tk. 399,750
Total tax liability	Tk.1,165,650
Additional investment tax credit (Note:2)	Tk. 47,970
Tax liability	Tk. 1,117,680

Average tax rate [Tk. 1,117,680/ (4,470,000 plus 1,599,000)] i.e., Tk. 1,117,680/6,069,000 equals 18.42%.

Therefore, the tax credit on the foreign income would be limited to Tk. 15,99,000 x 18.42%=Tk. 294,536. Even though tax equivalent to Tk. 325,000 (GBP 2,500 x 130) was paid in the UK for the house property income, the Bangladesh tax authority shall allow Ms. Moon foreign tax credit of Tk. 294,536.

So, the ultimate tax liability should be:

Tax after considering UK house property income	Tk. 1,117,680
Tax credit for UK tax paid on house property income	Tk. 294,536
Net tax payable	Tk. 823,144

Section 80 of the Income Tax Ordinance, 1984, mandates that every individual who is a resident Bangladeshi shall provide a statement of all local and global assets and liabilities, including those of their spouse, minor children, and dependents, as of the last day of the income year if the person meets any of the following conditions:

- Has a gross wealth exceeding Tk. 4,000,000.
- Owns a motor car.
- Has made an investment in a house property or apartment in the city corporation area.

Since Ms. Moon owns a house property in the Dhaka city corporation area and her gross wealth is expected to exceed the thresholds of Tk. 4 million, she is required to submit an assets and liabilities statement and include her local and global assets in that statement.

Note:1—25% of the value of the residential building is deemed to be allowed as repair & maintenance expenses at UK also. Therefore, the allowable expenses would be GBP 4,500.

Note:2—additional investment tax credit for house property income:

Additional eligible investment 20% of 1,599,000	Tk. 319,800
Tax credit, 15% of the investment	Tk. 47,970

4. **Blue Ocean Fishing Private Limited (BOFPL)** is one of the oldest deep sea fishing companies in Bangladesh. The company is experiencing declining trends in profitability, crisis in working capital and in fact reported net loss during the last six years. Consequently, the shareholders have circulated their interest to divest their investment to potential bidders. Total number of shares outstanding in the company is 3,000,000 having a face value of BDT 100 each. Five individual shareholders having twelve-digit TIN hold all the shares of the company and may consider any beneficial take over scheme from the prospective buyers. The company discontinued its operation of the company from 01 July 2022 and terminated all of its employees beforehand. The audited statement of financial position of the company as on 30 June 2022 with fair values of assets and liabilities are provided as below.

Blue Ocean Fishing Private Limited Statement of financial position As at 30 June 2022		
Assets	**Carrying amounts in BDT**	**Fair value in BDT**
Non-current assets	**580,000,000**	**920,000,000**
Property, plant and equipment	500,000,000	800,000,000
Intangible assets	80,000,000	120,000,000
Current assets	**50,500,000**	**40,000,000**
Cash and cash equivalents	1,500,000	1,500,000
Accounts receivable	15,000,000	10,000,000
Inventories	30,000,000	25,000,000
Advance deposit and prepayments	4,000,000	3,500,000
Total Assets	**630,500,000**	**960,000,000**
Liabilities		
Noncurrent liabilities	**250,000,000**	**340,000,000**
Loan from bank	220,000,000	220,000,000
Deferred tax liability	30,000,000	120,000,000
Current liabilities	**172,500,000**	**177,500,000**
Current portion of loan from bank	11,000,000	11,000,000
Accounts payable	85,000,000	85,000,000
Provisions	46,500,000	51,500,000
Provision for current tax	30,000,000	30,000,000
Equity	**208,000,000**	**442,500,000**
Share capital	300,000,000	300,000,000
Revaluation reserve		234,500,000
Retained earnings/loss	(92,000,000)	(92,000,000)
Total liabilities and equity	**630,500,000**	**960,000,000**

The records of income tax assessments disclose the following positions.

Income year ended	**Unabsorbed tax depreciation in BDT**	**Carried forward business loss in BDT**
30 June 2016	30,000,000	-
30 June 2017	35,000,000	5,240,000
30 June 2018	38,700,000	4,640,000
30 June 2019	40,570,000	7,380,000
30 June 2020	42,300,000	8,856,000
30 June 2021	45,000,000	10,560,000

Considering the declining trend in profitability, no deferred tax asset was recognized on unabsorbed depreciation and carried forward business loss. Shareholders of BOFPL, have shortlisted the following two buyout proposals as described below and approached you to understand their tax implications and their net position.

i. **Floating Fishing Private Limited (FFPL)** has offered to purchase the whole business i.e. all the assets (including licenses), liabilities (including potential tax liabilities) and take human resources of BOFPL. It has offered a transfer price of BDT 420,000,000. FFPL has to transfer and transport all the movable properties to the dockyard of FFPL. After the takeover, shareholders have to windup BOFPL by themselves. Shareholders of BOFPL anticipates a cost of BDT 3,000,000 for transferring the movable properties and a legal and professional fee of BDT 1,500,000. FFPL has agreed to bear equal share of

such legal and professional fee. Shareholder so BOFPL further estimates a professional fee of BDT 2,000,000 to windup the company.

ii. **Optimus Naval Drive Private Limited (ONDPL)** has proposed for an amalgamation with BOFPL. Under the scheme of arrangement, all the assets, licenses, recoverable claims from any party including the government and tax authorities and all liabilities would vest with ONDP. Upon approval of the scheme from the Court, the name of BOFPL would be struck off from the register RJSC. As a consideration, ONDPL would issue 3,800,000 ordinary shares of BDT 100 each and a cash consideration of BDT 42,500,000 to the shareholders of BOFPL. ONDPL estimated BDT 5,000,000 on account of professional fees and other related cost for the execution of the amalgamation. Considering the risk of hidden and potential liabilities, ONDPL stipulated for a three-year lock in period for transfer of shares to be held by the shareholders of BOFPL in the amalgamated company.

Requirements:

a) Considering the proposal from FFPL, analyze and calculate the tax liability and net position of the Shareholders of BOFPL**.[Marks 6]**

b) Considering the proposal from ONDPL, analyze and calculate the tax liability and net position of the Shareholders of BOFPL from the proposed amalgamation**.[Marks 4]**

c) Describe the future tax consequences of the shareholders of BOFPL, if any, under amalgamation **[Marks 2]**

d) Describe the implication for ONDPL from the proposed amalgamation**.[Marks 4]**

e) Which of the two buy out proposals would you advise to the shareholders of BOFPL and why? **[Marks 2]**

Answer to the Question# 4(a):

Calculation of capital gain tax on transfer of business

Particulars	**Amounts in BDT**
Consideration for tax purpose [Consideration proposed Tk.42 crore or fair value of net asset whichever is higher]	442,500,000
(-) Book value of net assets	(208,000,000)
(-) 50% expenditure for relocating expense	(1,500,000)
(-) 50% professional fees	(750,000)
=Capital gain	232,250,000
Capital gain tax @ 15%	**34,837,500**

Calculation of net position of the shareholders of BOFPL

Particulars		**Amounts in BDT**
Consideration proposed		420,000,000
(-) 50% expenditure for relocating expense		(1,500,000)
(-) 50% professional fees		(750,000)
(-) Capital gain tax @ 15%		(34,837,500)
(-) Professional fee to wind up the company		(2,000,000)
=Amount distributable to the shareholders of BOFPL		**380,912,500**
(-) Amount of share capital		(300,000,000)
=Undistributed accumulated profit/Dividend to shareholders		80,912,500
Total personal tax liability of shareholders on dividend applying highest tax rate 25% [80,912,500 x 25%]=		(20,228,125)
Net position of the shareholders [380,912,500-360,684,375]		**360,684,375**

Answer to the Question# 4(b):

Calculation of capital gain tax on amalgamation

Particulars	Amounts in BDT
Consideration other than shares in the amalgamated company	42,500,000
Capital gain tax @ 15%	6,375,000

In accordance with Section 32(5A) of the ITO, 1984, neither the shareholders nor the merging company need to pay any tax on amalgamation in so far the consideration is in the form of shares in the amalgamated company. However, the shareholders of the amalgamating company need to pay capital gain tax on any consideration received other than shares in the amalgamated company.

Calculation of net position of the shareholder of BOFPL

Particulars	Amounts in BDT
Consideration in the form of issue of shares[38,00,000 x Tk.100 per share]	380,000,000
Cash consideration	42,500,000
Capital gain tax	(6,375,000)
Net position of the shareholders of Blue Ocean	**416,125,000**

Answer to the Question# 4(c):

Future tax consequences for the shareholders of BOFPL under amalgamation

ONDPL stipulated for a lock in period of 03 years. Hence, realization of the consideration in shares has been deferred for 03 years. Since the ITO, 1984 does not provide any lock in period for transfer of shares in an amalgamated company, after expiry of the lock in period, the new shareholders may opt to sell their shares in Optimus Naval Drive. In this case, the new shareholders would be exposed to comparatively much lower amount of capital gain tax since capital gain i.e. the difference between sale price and cost of acquisition (i.e. the face value of shares in the amalgamated company) would be much lower had shareholders chose to directly sell their shares to any other party

Answer to the Question# 4(d):

Benefit for Optimus Naval Drive Private Limited from the proposed amalgamation

Optimus does not need to finance whole takeover. Instead, it will issue shares to the shareholders of Blue Ocean Fishing Private Limited. Its share capital will increase with a favorable debt equity ratio and better credit rating.

Under the scheme of arrangement to be approved by the High Court Division, the amalgamated company would enjoy all the assets and legal rights of the amalgamating companies. Hence, ONDPL would be able to enjoy the carried forward of business loss and unabsorbed depreciation of Blue Ocean Fishing Private Limited. In this case, Optimus Naval Drive Private Limited would enjoy a tax benefit of BDT 73,767,650 computed as under:

Year	Unabsorbed tax depreciation in BDT	Carried forward business loss in BDT
30-Jun-16	30,000,000	-
30-Jun-17	35,000,000	5,240,000
30-Jun-18	38,700,000	4,640,000
30-Jun-19	40,570,000	7,380,000
30-Jun-20	42,300,000	8,856,000
30-Jun-21	45,000,000	10,560,000
Total	231,570,000	36,676,000
Tax impact @ 27.5%	63,681,750	10,085,900
Total tax benefit		73,767,650

ONDPL would also be eligible for tax depreciation on the tax written down value of assets of BOFPL as assessed for the Assessment Year 2022-23**.**

Answer to the Question# 4(e):

I would suggest for amalgamation for the benefit of shareholders of BOFPL because of the following.

i. The amalgamation option results in higher net position to the shareholders of BOFPL;
ii. Capital gain on transfer of shares is higher in case of direct sale. Whereas in case of amalgamation capital gain after lock in period would be much lower;

ONDPL also will be benefited because of the following:

(1) ONDPL would not be required to finance the whole buy-out proposal rather it would have better gearing ratio;
(2) ONDPL would be the beneficiary unabsorbed tax depreciation and carried forward business loss of BOFPL

Thus the amalgamation would result in a win-win situation for both BOFPL and ONDPL.

5. Moon Bangladesh Ltd (Moon), is a reputed industry member has been operating in electronics goods sector in Bangladeshi since 2000. As a standard business practice, Moon buys picture tubes for television from its parent company Amigo Technology Ltd. The picture tubes are branded under the global brand name of Amigo Technology for which Moon pays a royalty of Tk. 100 to Amigo Technology Ltd for every television it sold. Amigo Technology sold similar picture tubes to other unrelated customers in Sri Lanka, but do not charge any royalty.

   Considering the ongoing Forex crisis in Bangladesh, Amigo Technology Ltd offered a 6-month credit period to Moon, on the other hand for other customers, the credit period was 3 months. In 2021-22, 500,000 units of picture tubes were bought for a total sum of Tk. 500 crores from Amigo Technology Ltd (assume it was uniform throughout the financial year). Cost of capital of Amigo Technology was 10% per annum. For supply of identical quantity of similar picture tubes to other unrelated customers, Amigo Technology Ltd would have charged Tk. 480 crores (excluding interest component for the delay beyond 3 month). Assume the entire purchase was sold out by 30th June 2022.

   Requirement:
   Determine the arm's length price (ALP) of the transaction of purchase of picture tubes by Moon Bangladesh Ltd from Amigo Technology Ltd indicating the ALP method and its impact on the assessable income, if any, for the assessment year 2022-23**. [Marks 10]**

Answer to the Question# 5:

Bangladeshi company, Moon Bangladesh Ltd and Japani company, Amigo Technology Ltd are associated enterprises as per section 107A(2) of the Ordinance, as Amigo Technology Ltd is the parent company of Moon Bangladesh Ltd. Thus, the transaction of purchase of Picture Tubes by Moon Bangladesh Ltd from Amigo Technology Ltd would be an international transaction. The value of international transaction needs to be worked out on the basis of Arm's Length Price (ALP).

Amigo Technology Ltd is selling Picture Tubes to unrelated customers, which would be the comparable uncontrolled transaction in this case. The purchase price for unrelated customers has to be adjusted by taking into consideration the functional differences existing between the transactions of Amigo Technology Ltd with associated enterprise (Moon Bangladesh Ltd) and other unrelated parties.

Accordingly, the arm's length price for purchase of Picture Tubes has to be computed for working out the impact on assessable value as per CUP method.

Computation of Arm's Length Price

	Particulars	Tk. in crores
	Purchase price of Picture Tubes by unrelated parties from Amigo Technology Ltd	480
	Adjustments for functional differences:	
	Add: Royalty payable by Moon Bangladesh Ltd [Tk. 100 per picture tube x 500,000]	5
	Cost of capital for additional 3 month credit which is not given to unrelated party [(10% x 40 crores)/12 x 3 (monthly average sales i.e., Tk. 480 crores /12 months]	(1)
	Arm's Length Price of 500,000 Picture Tubes (A)	484
	Purchase price of Picture Tubes by Moon Bangladesh Ltd from Amigo Technology Ltd (associated enterprise) (B)	500
	Amount to be added to its total income (B) – (A)	16

6. Pioneer Plastics Limited is leading plastic goods manufacturer of the country. It pays VAT on sales adopting 15% output VAT rate. The chief accountant of the company is concerned about the VAT implications for the following transactions and events took place during the month of June 2023 and approached for your advice.

Requirements:

Prepare a memo to the chief accountant of the company elaborating the VAT implications, compliance requirements and penal exposure, if any.

a) Pioneer Plastics Limited (PPL) had a wholly owned subsidiary namely Pioneer Industrial Cleaning Services Limited (PICSL). The company has recently transferred a total number of 100,000 shares PICSL for BDT 15 each to another private limited company. Face value of each of the shares of PICSL is BDT 10 and the company no longer remains a subsidiary of PPL**.[Marks 4]**

b) PPL has taken some software maintenance service from Genesis IT Services Limited(GISL) for a fee of BDT 1,000,000. The vendor issued a tax invoice adding 5% VAT. On the other hand, PPL sold some plastic furniture to GISL for BDT 500,000. PPL issued a tax invoice adding 15% VAT. PPL issued an account payee cheque for IT service fee after adjusting amount receivable from GISL**.[Marks 4]**

c) PPL sold plastic furniture of BDT 1,500,000 adding 15% VAT to renowned corporate house in Bangladesh on 05 May 2023. However, due to some error in the design of the furniture, it had to take return of the furniture 25 June 2023. PPL did not receive any payment from the purchaser but paid the VAT due on the supply before submission of the VAT return of May 2023**.[Marks 4]**

d) The company has supplied plastic products for modification and renovation of accommodation, sitting and dining facility with plastic fittings for an ocean going ship. The supply value is BDT 1,500,000. The vessel operator is a national flag vessel carrier and runs container carrier ship in international territory. **.[Marks 4]**

e) Due to some technical difficulties, information of sales in the POS machine for the month of June got corrupted. The IT management team of the company could not recover the data and approached a professional data recovery consultant. The company needs extension of time from VAT authority for submission of VAT return for the month of June. Advise the company on procedure for seeking extension of time and penalty exposure, if any. **[Marks 4]**

Answer to the Question# 6(a):

According to Section 15(1) of the VAT & Supplementary Duty Act, 2012, VAT is imposed on taxable supply and taxable import. A supply has been defined in Section 2(94) of the VAT & SD Act, 2012 as supply of goods, supply of services, supply of immovable properties or a combination of them. Section 2(60) of the VAT & SD Act, 2012 provides a definition of goods which does not include shares. Hence, transfer of shares from PPL to the purchaser, not being transfer of goods, would not attract any VAT. However, according to Section 14 of the VAT & SD Act, 2012 read with Rule 12 of the VAT & SD

Rules, 2016, management of PICSL have to intimate the VAT Divisional Officer online regarding change in ownership in Form VAT 2.1 or manually in Form VAT 2.5.

Answer to the Question# 6(b):

According to Section 32 read with Section 2(59) of the VAT & SD Act, 2012, GISL has to impose VAT on the total consideration receivable from PPL and pay VAT accordingly. PPL and GISL may opt to settle their receivable and payable on net basis but the VAT law does allow settling the VAT obligation on a net basis. Any credit/adjustment is to be claimed in VAT return. Hence, PPL has to calculate the VAT on total supply value of GISL, withhold the same since IT service falls under the jurisdiction of VAT deduction at source and deposit the VAT so deducted to the Government exchequer as per law. Moreover, according to Section 46(1)(ka) of the VAT & SD Act, 2012, input tax credit cannot be claimed on a supply if the consideration exceeds BDT 100,000 and the whole consideration is not paid in a banking or a mobile banking channel. Since the service fee exceeded BDT 100,000 and a portion was not paid in banking channel, input tax credit cannot be claimed against the VAT paid on service fee not paid in banking/mobile banking channel.

Answer to the Question# 6(c):

According to Section 48(2) of the VAT & SD Act, 2012 read with Rule 27(4) of the VAT & SD Rules, 2016, if any adjusting event takes place for cancellation or return of a supply and as a result VAT calculated/paid earlier is greater than the actual VAT payable, the supplier shall issue a VAT Credit Note in form VAT 6.7 in favor of the recipient of the supply. The supplier shall be eligible to claim a decreasing adjustment for the excess VAT paid earlier in the VAT period in which the return takes place or in any one of the following two VAT periods subject to the following conditions.

i. If the recipient of supply is a registered person and there is any evidence of credit note from the supply receiver; or

ii. If the recipient of supply is not a registered person, in that case the supplier refunds excess VAT to the recipient in cash or by paying off any arrears that the recipient owed to the supplier.

Considering the above, PPL has to issue a VAT credit note in Form VAT 6.7 to the customer and get the credit note received by the customer. Since, PPL did not receive any consideration from the customer, there is no question of refund. PPL would be able to claim decreasing adjustment in its VAT return of June 2023 based on the evidence of receipt of VAT credit note.

Answer to the Question# 6(d):

According to Section 24(5) of the VAT & SD Act, 2012, if goods are supplied in the course of repair, maintenance, cleaning, renovation, modification, or otherwise physically affecting an ocean-going ship or an aircraft or any other vessel of the like as engaged in international transport shall be zero-rated. PPL would be required to issue a tax invoice in favor of the purchaser adopting zero rate since it has supplied plastic products for modification and renovation of accommodation, sitting and dining facility with plastic fittings for an ocean going ship engaged international transport. PPL would be required to disclose the supply as zero rate one in its VAT return of June 2023. According to Section 46(1)('tha') of the VAT & SD Act, 2012, PPL would be entitled to take credit of input VAT paid for such supply.

Answer to the Question# 6(e):

It is understood that PPL cannot submit the VAT return of June 2023 within the statutory timeline and requires extension of time. Section 65 of the VAT & SD Act, 2012, in this regard empowers the Commissioner of VAT to give permission for delayed submission of VAT return subject to receipt of application in prescribed conditions and manners. According to Rule 48 of the VAT & SD Rules, 2016, PPL has to apply before the Commissioner of VAT in Form VAT 9.3 within 7 days of expiry of the tax period explaining the reasons for delay. The Commissioner of VAT is required to give permission within 7 days of receiving the application. The permission can be given for a maximum period of one month. If the VAT return is submitted within the extended period, PPL would not be exposed to any penalty under Section 85(1)('cha') of the VAT & SD Act, 2012.

However, according to Section 127 of the VAT & SD Act, 2012, PPL would be required to pay penal interest @1% per month for the period of delay, if any, in payment of due VAT. If any permission from the Commissioner of VAT is not taken for delay in submission of VAT return, according to Section 85 of the VAT & SD Act, 2012, PPL would be required to pay a penalty of BDT 5,000 with penal interest.

7. Hope S.A. ("the Company") is a German based consumer goods company, contemplating to start its operation in Bangladesh as Hope Bangladesh Ltd as Bangladesh being considered as one of the emerging economies having a good consumer base, which exactly matches the consumer profile that the company has been operating across the world. Accordingly, the Company intends to open a manufacturing plant in Chittagong (the Factory), which it wants to operate through one mother warehouse in the factory and five sales centers across the country to market its homogeneous food products. In relation this, the company gathered following basic information in 2019 regarding VAT operation, which it could not initiate due to Covid-19 pandemic:

   (i) It will require separate registration for Factory and all five sales centers.

   (ii) Accordingly, separate books and records need to be maintained in all the premises mentioned above and all VAT transactions (sales, purchase, deposit of VAT, etc.) for the month will require to be recorded separately in each location, which needs to be reported through separate VAT returns every month as well.

   (iii) For transfer of goods from Factory location to any sales center or transfer between one sales center to another, will require issuance of VAT Challan (Mushak 6.3) and goods can be transferred only upon payment of VAT as per base value for VAT declared through Input-Output Coefficient (Mushak – 4.3) with the respective authorities.

   Now, the Covid-19 pandemic being over, the company has reinitiated the process to start the Company operation in Bangladesh in 2023 and therefore wants to review the above in view of the provisions of prevailing VAT laws.

   Requirement:

   Advice the Company as to whether the above-mentioned procedures that it gathered in 2019 is the only way or there are other simpler options available highlighting the following areas:

   (i) VAT Registration

   (ii) Submission of Input-Output Co-efficient

   (iii) Submission of VAT return

   (iv) Applicability of VAT when goods will be transferred from factory to sales center or one sales center to another sales center or sales center to third parties.

   You are a chartered accountant, has been working for a reputed tax advisory firm since 2020. As part of advisory services of your Firm, you received following queries from clients. Explain whether the clients can go ahead with approach, if not identify the possible exposures if any including remedies if required**. [Marks 8]**

Answer to the Question# 7:

The VAT & SD Act 2012 has been evolved and updated in relation to registration provisions. Accordingly, very easy process has been introduced to simplify overall VAT operation. This is explained below sequentially:

Requirement (i): VAT Registration

The proposed company Hope Bangladesh Ltd, will have following features:

(1) Products are homogeneous.

(2) There will be one manufacturing plant in Chittagong (the Factory),

(3) One mother warehouse in the factory and five sales centers across the country

With the above, instead of getting separate registration for each separate premise, Hope Bangladesh Ltd can consider Central BIN under the VAT law, which was not allowed earlier for a single factory.

Requirement (ii): Submission of Input-Output Co-efficient

If the company obtains Central BIN, the operation will be very easy. No separate Input-Output Coefficient will be required to be submitted from all separate locations, rather a single Input-Output Coefficient for every single product, if submitted under the Central BIN from the centrally registered premises, that will suffice.

Requirement (iii): Submission of VAT return

Again, if the company obtains Central BIN, no separate VAT return will be required to be submitted from all separate locations. Instead, only one monthly return will be required to be submitted upon recording all the transactions from each location, which records will be maintained in centrally registered premises.

Requirement (iv):

Applicability of VAT when goods will be transferred from factory to sales center or one sales center to another sales center or sales center to third parties:

(a) When goods will be transferred from factory to sales center or one sales center to another sales center:

There will be no VAT applicable as it will be within the entity transfer only, no real sales are taking place. However, if separate registration was taken, in that case VAT is to be paid even for these types of transfer.

(b) When goods will be transferred from factory or warehouse or sales center to any third party, in that case VAT will be applicable.

8. ABC Ltd is manufacturing concerns, has been marketing consumer goods under FMCG sector, which it manufactures in its factory located in Narayangonj. For the month of April'23, ABC Ltd obtained a service from a non-resident company abroad for which, it remitted US$ equivalent to Tk. 10,00,000 upon depositing Tk. 150,000 as VAT through treasury challan.

Being this is import of service, the service provider did not issue any VAT Challan (Musak 6.3), however since section 46(3)(Gha) of the VAT & SD Act 2012 specified that the copy of treasury challan as proof of payment is acceptable as a supporting documents for the purpose of claiming input tax credit, the Tax Manager of ABC Ltd is confident that the company can claim this input VAT of Tk. 150,000 without any further formalities.

Requirement:

As a matter of precaution, the CFO of ABC Ltd, advised the Tax Manager to revalidate the position with the Consultant**. [Marks 4]**

Answer to the Question# 8:

Possible exposure and remedies:

Following the approach suggested by the Tax Manager of ABC Ltd may expose the company into financial losses as well as penal measures for claiming inappropriate input tax credit. Accordingly, entire input tax credit may be cancelled and in addition penal measures may be taken.

Hence, submitting only Treasury challan as a supporting document is not good enough for ensuring eligibility of input tax credit on account of import of service unless following two conditions are met:

(1) As per section 46(1)(KHA) of VAT & SD Act 2012, ABC Ltd will require to disclose input tax amount as output tax in the return.

(2) As per section 46(1)(DA) of VAT & SD Act 2012, ABC Ltd will require inclusion of the service costs on account of import of service in the Input Output Co-efficient (Musak 4.3).

ABC Ltd therefore should ensure fulfilling the above two conditions before claiming the input tax credit of Tk. 150,000 on account of import of service.

9. Consider today's date as 1 July 2023.

You are an indirect tax manager at a leading practice firm in Dhaka. Coffee-King Bangladesh Limited ("CKB") is a tax client of your firm. Yesterday, you received an email from the Managing Director of CKB, the extract of which is mentioned below:

"My name is Smith Williams. I have been appointed as the new Managing Director of Coffee-King Bangladesh Limited, which is a 100% subsidiary of Coffee Manufacturing Limited, Brazil. I am impressed that the demand for coffee has dramatically increased over the years in Bangladesh, and I am proud to tell you that our business is also growing fast. Currently, we are planning to introduce more premium brand coffee into the Bangladesh market. Therefore, we are seeking your advice on our latest business plan.

Just to give you a quick background—CKB is one of the leading coffee importers from Brazil, and it operates 123 coffee outlets in Dhaka city and its adjacent areas. 'Smash Cocoa' is a premium branded roasted coffee that we offer to our customers mainly in the city of Dhaka, mixed with different flavors. This coffee has garnered significant attention among thousands of coffee lovers. CKB reported a 45% operating profit last year from the sale of 'Smash Cocoa'.

Inspired by the success of our existing coffee business, CKB is planning to expand its operations in Chattogram and Sylhet City. We are considering importing decaffeinated coffee called 'Cocoa-Zero,' which is a superior quality coffee compared to 'Smash Cocoa.' As part of the group policy, the management of CKB aims to maintain a 20% profitability from the business of the 'Cocoa-Zero' brand. Therefore, this time CKB has decided to import 'Cocoa-Zero' at a price of USD 4 per kg.

Our accountant shared a copy of the customs circular, which mandates that all types of coffee should be assessed based on the minimum value set by the customs authority. He further confirmed that 'Smash Cocoa' was assessed based on the minimum value. Below is the extract of the minimum value as per the customs circular for your reference.

Heading	HS Code	Description	Unit	Minimum Value USD/Unit
09.01	All HS code	Coffee, whether or not roasted or decaffeinated; coffee husks and skins; coffee substitute containing coffee in any portion	Kg	4.50

Based on the above background, we would like to have your advice to understand some customs-related issues so that we can finally set a proper strategy for our business ahead."

Requirements:

You should assume that the customs law for the financial year 2022-23 continues to apply for the financial year 2023-24.

a) How is the price of imported goods determined according to the Customs Act and the Customs Valuation (Determination of Price of Imported Goods) Rules, 2000? **[Marks 5]**

b) What would be the duties and taxes for 1,000 kg of CocoaZero coffee based on the minimum value, and are these duties and taxes eligible for credit? Apply the following rates of duties and taxes in answering this part of the question: Customs Duty - 25%, Value Added Tax - 15%, Advance Tax - 5%, Regulatory Duty - 20%, Advance Income Tax - 5%, and Supplementary Duty - 20%.**[Marks 5]**

c) What could be the critical factors in determining the assessable value of CocoaZero coffee at a value below the minimum value and what are the ways forward? **[Marks 5]**

Answer to the Question# 9(a):

Determination of price of the imported goods:

The Customs Valuation (Determination of Price of Imported Goods) Rules, 2000 discussed the valuation rules applicable for determination of price of imported goods in Bangladesh. This Rule provides a systematic and transparent method for determining the customs valuation of imported goods to facilitate assessing

customs duties, taxes, and other charges at import stage. The following are the methods used for valuing imported goods:

(1) Transaction value: The primary method is based on the transaction value, which is the price actually paid or payable for the imported goods subject to the condition that buyer and seller are not related. If two parties are related, transactional value shall also be applied if it is proved that value of the goods has not been affected by the relationship.

(2) Transaction value of identical goods: If the transaction value cannot be determined under the first method, the customs authorities may consider the transaction value of identical goods that were imported at or about the same time.

(3) Transaction value of similar goods: If the transaction value cannot be determined under the second method, the customs authorities may consider the transaction value of similar goods, which are goods that closely resemble the imported goods in terms of characteristics and composition.

(4) Deductive value: If the transaction value cannot be determined under the previous methods, the customs authorities may use the deductive method. This method is based on the selling price of the imported goods in the country of importation, with adjustments for certain costs incurred after importation.

(5) Computed value: If the customs value cannot be determined under the previous methods, the computed method may be used. This method involves the determination of the customs value based on the cost of production, profits, and general expenses in the country of origin.

(6) Residual method: If none of the previous methods can be applied, the customs authorities may use a reasonable means consistent with the principles and general provisions of the rules and on the basis of price data available in Bangladesh.

(7) Fixed value or minimum value method: For certain types of good, customs authority applies fixed or minimum vale as set out by the government for those goods.

It's important to note that the Customs Valuation Rules in Bangladesh helps in determining the customs value in a consistent and objective manner, facilitating the calculation of customs duties and taxes on imported goods.

Answer to the Question# 9(b):

Computation of duties & taxes:

Base value for customs duty and regulatory duty shall be the minimum value of the imported goods. Supplementary duty shall be levied based on the assessable value plus customs and regulatory duties. Base value of Value Added Tax (VAT) and Advance Tax shall be assessable value plus customs, regulatory and supplementary duties. However, Advanced Income Tax shall be computed based on the assessable value.

In the given scenario, the assessable value of 1,000 kg of Cocoa-Zero coffee based on the minimum value of USD 4.5 per kilogram would be USD 4,500. Therefore,

Customs Duty[CD] would be USD 1,125 being 25% of USD 4,500.

Regulatory duty[RD] would be USD 900 being 20% of USD 4,500.

Supplementary duty[SD] would be USD 1,305 being 20% of USD 6,525 (4,500 +1,125+900).

Value Added Tax[VAT] would be USD 1,174.50 being 15% of 7,830 (4,500 +1,125+900+1,305)

Advanced Tax [AT] would be USD 391.5 being 5% of USD 7,830

Advanced Income Tax[AIT] would be USD 225 being 5% of USD 4,500.

Total Duties and Taxes = CD + RD + SD + VAT + AT + AIT

Total Duties and Taxes = 1,125 + 900 + 1,305 + 1,174.50 + 391.50 + 225= USD 5,121.

Duties and taxes eligible for credit:

Customs duty, regulatory duty and supplementary duty is not allowed for adjustment or tax credit, therefore, these duties paid at import stage shall be considered as cost to the importer.

Value Added Tax (VAT) paid on imports is eligible for credit against output VAT liability if output VAT is 15%. Advance Income Tax shall be treated as advance payment of taxes and are allowed to adjust with income tax liabilities. In certain cases, advance income tax at import stage becomes the minimum tax for the importer.

Finally, Advance Tax is allowed as decreasing adjustment for VAT purpose.

Answer to the Question# 9(c):

Determining assessable value for Cocoa-Zero:

According to the valuation rules, certain goods have prescribed minimum values for determining the assessable value. Coffee is one of the items for which a minimum value is prescribed. However, the order related to the minimum tariff value includes a provision that empowers the taxing authority to consider a higher assessable value based on factors such as the country of origin, brand, models, etc., of the imported goods. In cases where the declared value is lower than the minimum value, the minimum value will be considered. If the declared value exceeds the minimum value, then the declared value will be chosen for assessing the imported goods. Additionally, the customs authority may increase the declared value if the goods belong to a premium category.

In the given case, it is stated that the company has gained proven profitability by selling a lower graded coffee than the targeted premium blended coffee. The company is also planning to maintain lower profitability from the sale of the premium coffee brand 'Cocoa-Zero'. The tax authority may take this information into consideration and refuse to assess the imported coffee at a lower price. One possible way forward could be for CKB to complete customs clearance through an on-protest declaration and pay duties and taxes accordingly. Subsequently, CKB may file an appeal before the appellate authority against the unjustified determination of the assessable value.

It is important to note that since the new coffee brand is positioned as a premium brand, it may be difficult for the company to convince the customs authority to assess the coffee at a lower value. CKB may choose to set a value that is at least the minimum value prescribed by the government and provide justifications for the price if the customs authority does not agree with the declared value.

---The End---